

Table 45.4 Breakout and Post-Breakout Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Breakout direction	100% up	100% up	100% down	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 34%, M 28%, H 32%	L 18%, M 25%, H 14%	L -14%, M -13%, H -11%	L -21%, M -23%, H -22%
Throwbacks/pullbacks occurrence	54%	52%	55%	58%
Average time to throwback/pullback peaks	5% in 9 days	9% in 10 days	-6% in 8 days	-11% in 9 days
Average time to throwback/pullback ends	14 days	15 days	14 days	15 days
Average rise/decline for patterns with throwbacks/pullbacks	31%	20%	-12%	-22%
Average rise/decline for patterns without throwbacks/pullbacks	31%	19%	-13%	-23%
Percentage price resumes trend	62%	47%	53%	49%

Yearly position, performance. Bull markets prefer patterns with breakouts within a third of the yearly low. Bear market patterns perform best if the breakout is in the middle of the yearly high–low price range. In most cases, you will want to avoid trading islands within a third of the yearly high. They perform worst, but every situation is different, so use your best judgment.

Throwbacks and pullbacks. Throwbacks and pullbacks occur about half the time. Price trends for 8 to 10 days before returning to the breakout price